

BEYOND BUDGETING

There has been much recent criticism of the annual budgeting process for many reasons, including the following:

- Time consuming and costly to put together
- Constrains responsiveness and flexibility and is a barrier to change
- Rarely strategically focused (most budgets are for one year only)
- Adds little value
- Concentrates on cost reduction, not on value creation
- Strengthens vertical control and command (many are top-down)
- Encourages 'gaming' and perverse behaviour just to meet the budget.
- Developed and updated too infrequently
- Based on unsupported assumptions, estimates and guesses
- Reinforces departmental barriers rather than sharing and cooperation
- Makes people feel undervalued: the budget is seen as a strict control mechanism and employees have to stick to the budget no matter what.

Several companies are adopting a 'beyond budgeting' approach whereby instead of preparing budgets and measuring the performance of managers by reference to the budget, managers are measured by comparison with other similar companies or by comparison with other similar divisions of the same company.

"The annual budgeting process is a trap. Pressured by fixed targets and performance incentives, managers focus on making the numbers instead of making a difference, meeting set goals instead of maximizing potential. With their compensation at stake, managers often resort to deceitful - even unethical-behaviour. In the end, everybody loses - the employee, the company, and ultimately the customer. The Beyond Budgeting model argues that companies should abandon traditional budgeting in favour of a new model that links performance measurement to evolving competitive benchmarks-and shifts the firm's focus from controlling employee behaviour to delivering customer value."



Principles of beyond budgeting

- The creation of a performance management climate that measures success against the competition and not against an internally focused budget. The motivation and reward process is based on the success of the team compared to the competition.
- The target setting process is based on the agreement of external benchmarks.
- Motivation through challenges and delegating responsibility to operational managers who can make decisions themselves.
- The empowerment of operational managers by giving them the means to act independently (access to resources). The resource utilisation process is based on direct local access to resources (within agreed parameters). The coordination process coordinates the use of resources on the basis of internal markets

Organization based on customer-oriented teams, who are responsible for satisfied and profitable customers. Strategy and action planning is delegated to operational managers and takes place continuously

Creation of a single "truth" in the organization with open and transparent information systems. The measurement and controlling process provides quick and open performance information for multilevel control.

The two fundamental elements of the Beyond Budgeting model are:

- New leadership principles based on the principle of the empowerment of managers and employees, and
- New more adaptive management processes.

The new leadership principles (devolution) should unlock the full potential of managers and employees in order to enable the organization to react in an appropriate way and as quickly as possible to new chances and risks in the market environment.

Adaptive management processes are not based on fixed targets and resource plans like under the budgeting model. Instead, they enable an organization for a high degree of flexibility.

